TRANSFORMING CUSTOMER JOURNEYS
Playbook

# Journey Team Setup

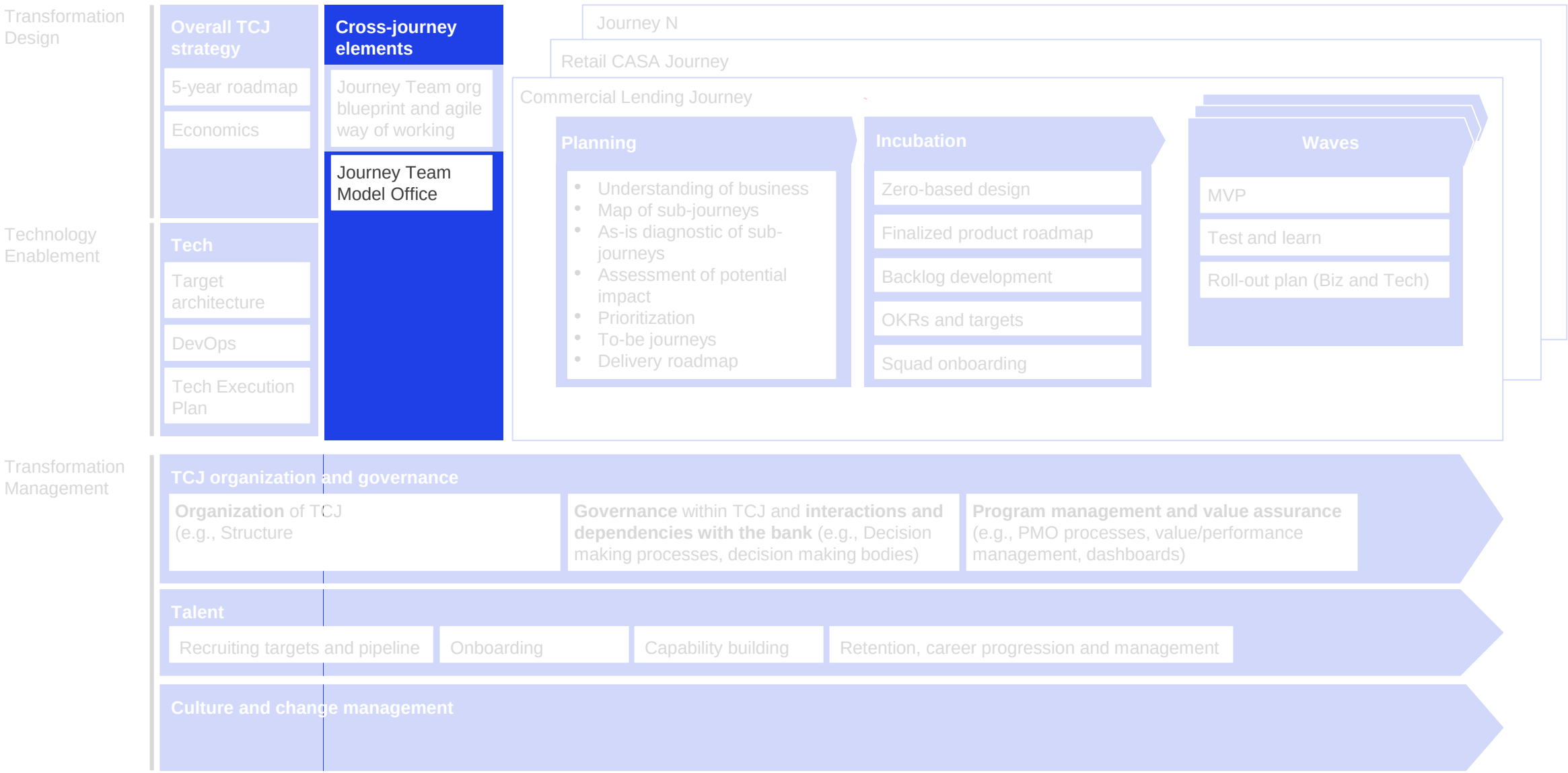
## Model Office concept

This playbook contains all the pieces and parts that make up our approach to transforming customer journeys. This is a living document and the latest version can be found on TCJ's Confluence site.

Last updated in May 2019

CIMB

# How this module fits into overall TCJ Playbook

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**How is each Journey deployed to Business?**


- **What is a Model Office squad?**
- What are the benefits of the Model Office approach?
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# The Model Office squad is the Business operations arm of each Journey Team

## What is Model Office?

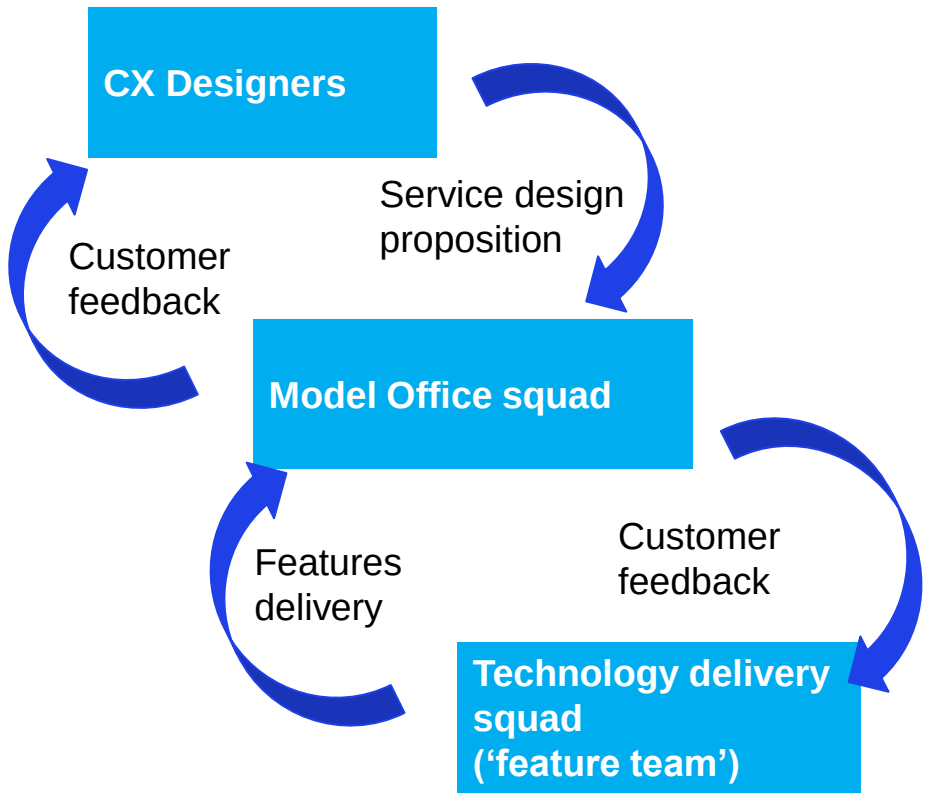
- **One of the squads within each TCJ Journey Team**; staffed by Subject Matter Experts from BUs affected by the TCJ Journey
- **Responsible for business industrialization** of each TCJ Journey
- **Set up as a miniature ecosystem of operations,** to test-and-learn then scale operating processes

## Responsibilities of MO squad

Model Office squad is established during **Journey Wave** to:

- **Test new operations process** related to business processes and organizational changes **and provide 'proof of concept'** before scale-up
- **Share customer feedback with Product Owners** and Journey Team Tech/Design members to shape Journey Team's backlog
- **Business industrialization,** i.e. scale up new process to BAU team and shift all volumes into new customer journey

## How Model Office team members work with other Journey Team members?

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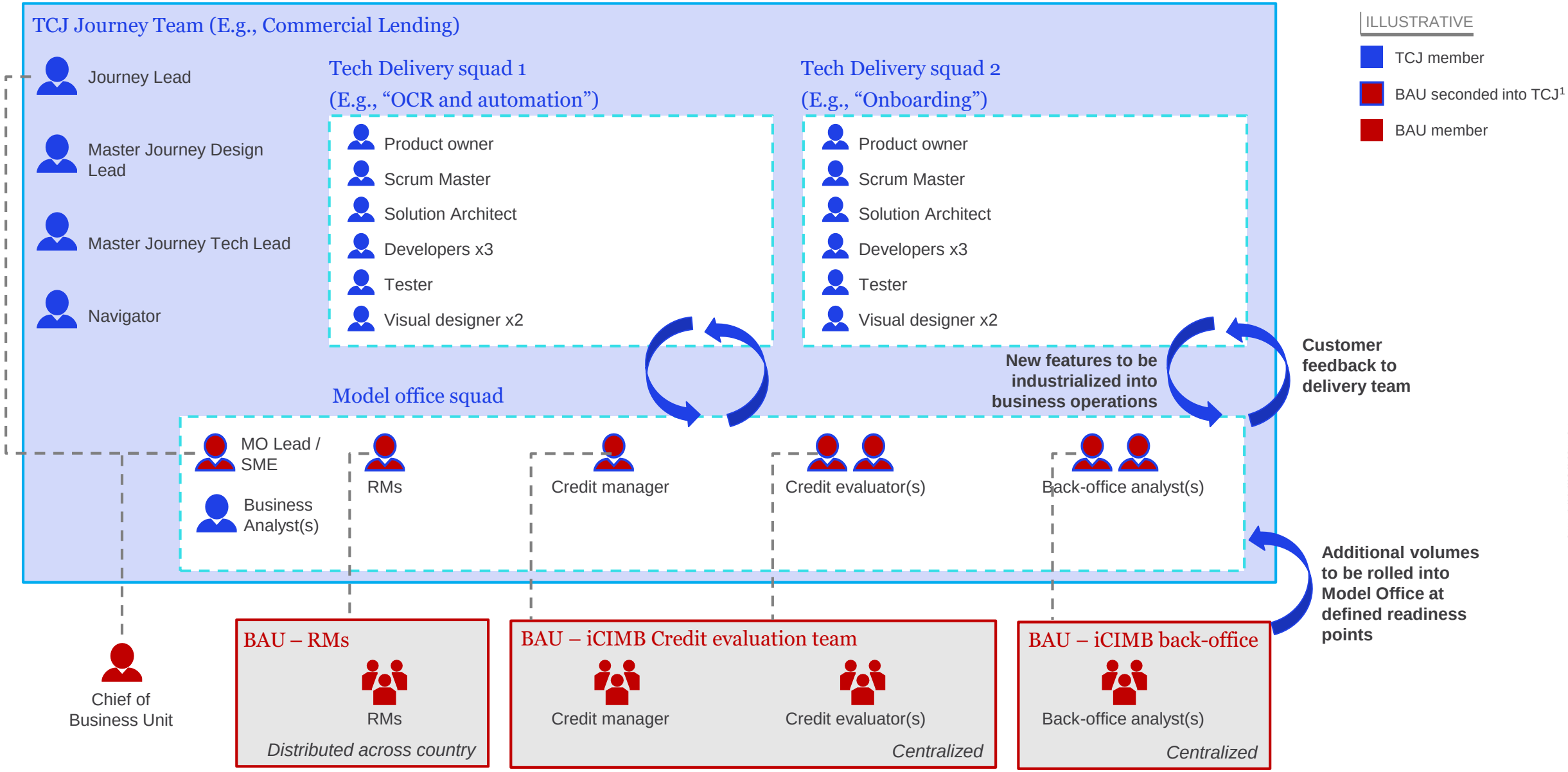
# The Model Office squad is one of the squads alongside tech in each Journey Team




1 May be fully or partially seconded into TCJ Model Office squad, depending on impact of change onto the role, location of roles, etc. Further details to follow in later pages.



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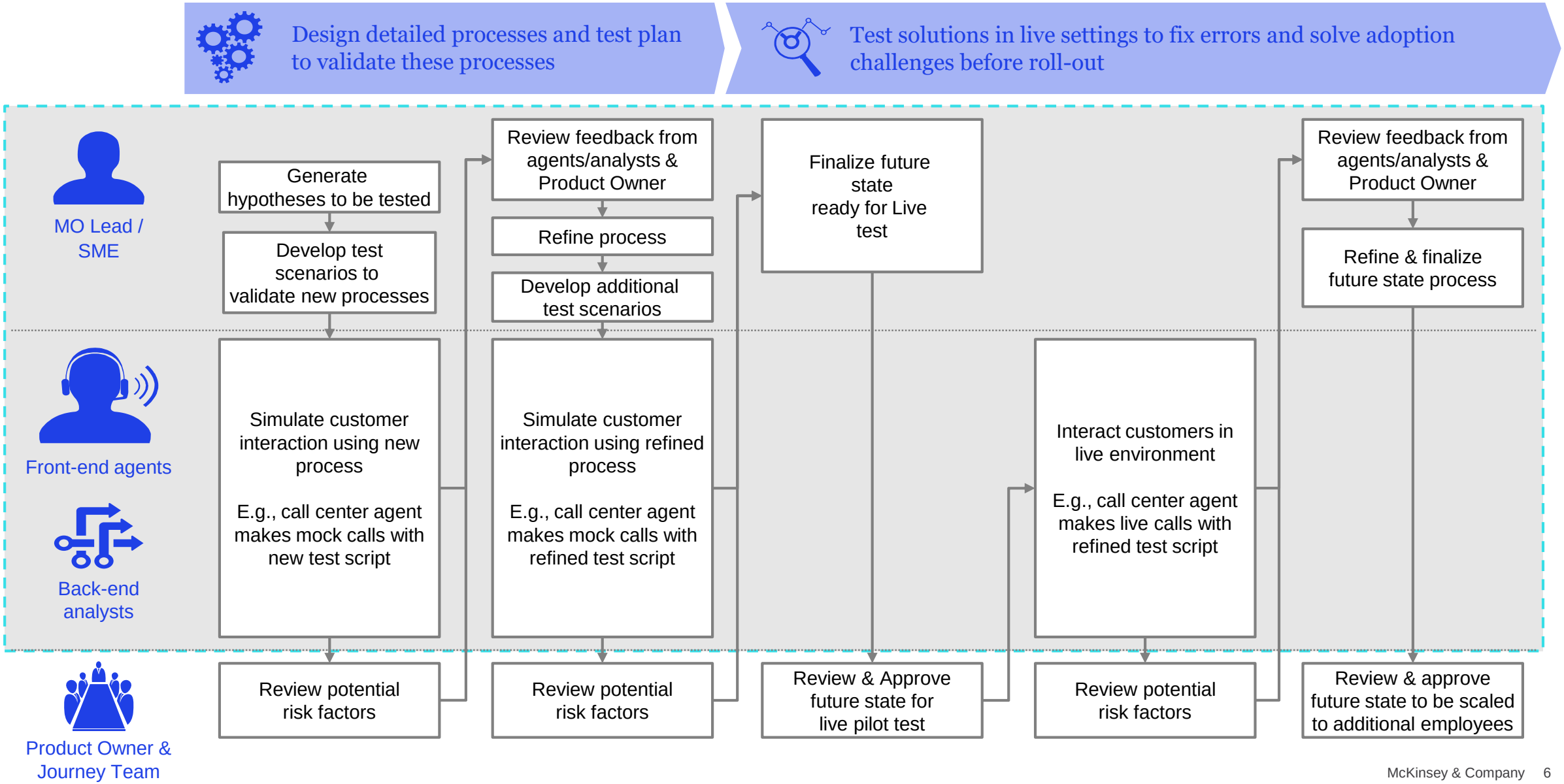
# Role of members in MO squad

Core MO activities

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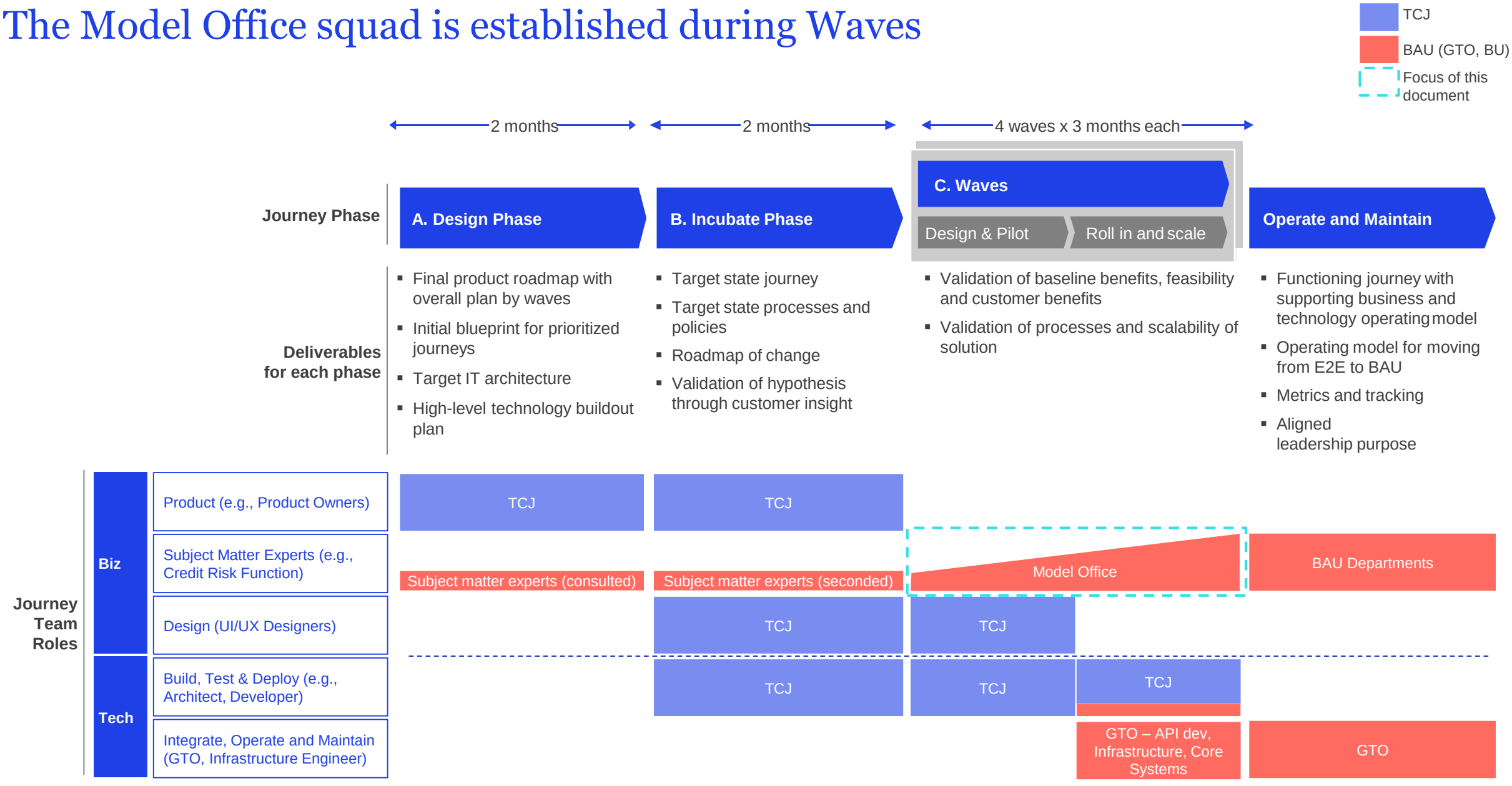
# The Model Office squad is established during Waves

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# Unlike typical change management practices, TCJ Model Office will focuses on continuous test-and-learn

| Traditional change management approach | Our Model Office approach |
|---|---|
| Assumption-based analytics | Test based Proof of Concepts |
| Stick to the process and plan | Flex for speed and impact |
| Right first time | Trial & error |
| One-off revolution | Continuous evolution |
| Focus on pilot sucess | Focus on scale & change management |

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# As part of the Journey Team, Model Office squad will employ core Agile characteristics and applies them to operation transformations

## Agile can be defined by three core characteristics…

## MO squad applies the Agile characteristics to operation transformations

- Self-Organization

- MO agents are **empowered** to design, test, and develop future state
- MO agents **collaborate** with stakeholders to plan and prioritize tasks

- Adaptive Planning

- Weekly sprint planning cadence allows MO to **iteratively review test results and adapt weekly plans**

- Focus on Value Creation

- MO reviews weekly test results and can **flexibly adjust objectives and goals** to generate maximum value

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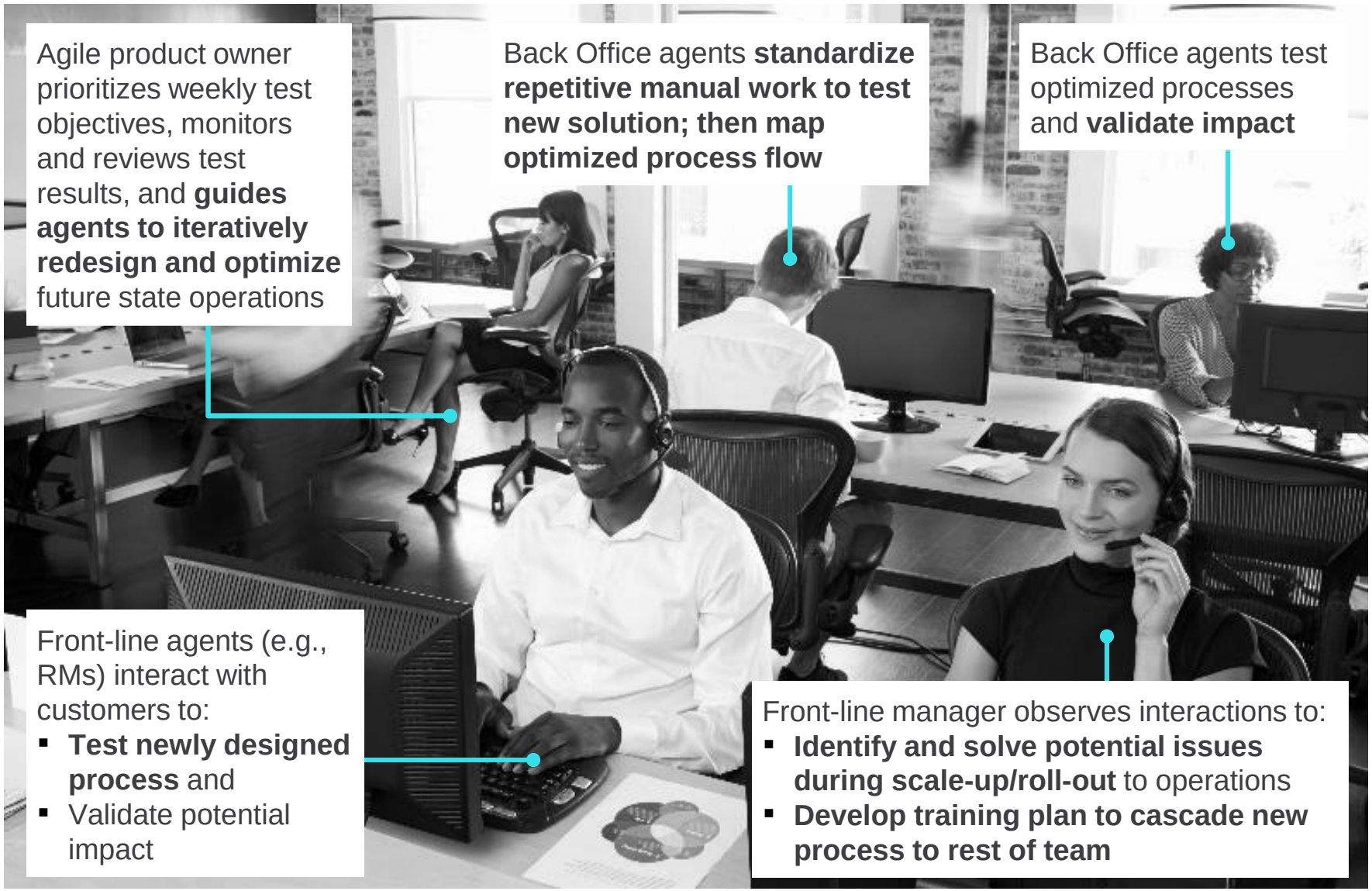
# All Model Office squad members are co-located with rest of Journey Team to design and test future state operations



Agile product owner prioritizes weekly test objectives, monitors and reviews test results, and **guides agents to iteratively redesign and optimize** future state operations

Back Office agents **standardize repetitive manual work to test new solution; then map optimized process flow**

Back Office agents test optimized processes and **validate impact**

Front-line agents (e.g., RMs) interact with customers to:

- **Test newly designed process** and
- Validate potential impact

Front-line manager observes interactions to:

- **Identify and solve potential issues during scale-up/roll-out** to operations
- **Develop training plan to cascade new process to rest of team**

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# MO cuts through silos to redesign E2E customer journeys, by bringing together agents from across the organization to collaborate

## Think in Silos

**Generalist Phone**

*"I introduced the customer to the specialist and provided all information that is required…"*

**Specialist Phone**

*"I don't trust the generalists, so I'm going to reassess what the customer really needs…"*

***Back Office Processing***

*"I see the notes, but I can't understand them. I'll have to call the customer again…"*

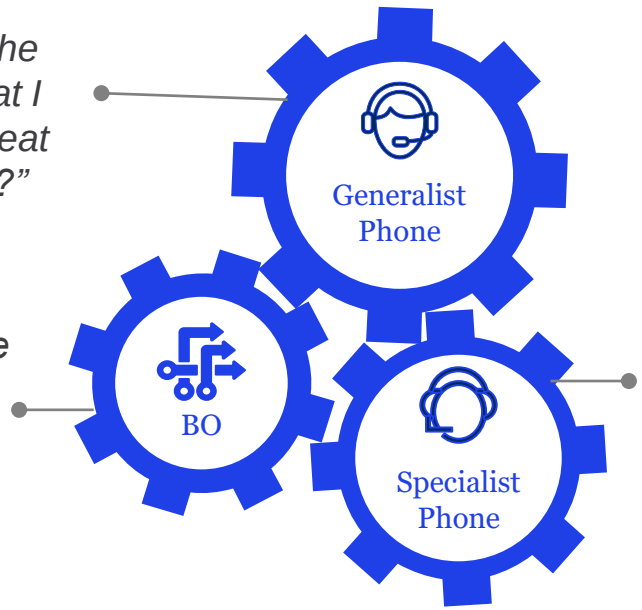
Agents are unaware that existing processes and policies can lead to "passing the audit" but create customer dissatisfaction

Agents are limited to developing operational improvements that address issues in their silos, without solving overall customer experience

## Think about E2E customer journey

*"I didn't realize Specialists asked the same questions that I did. Should we repeat the same question?"*

*"We should provide a template to help phone agents capture only the necessary information"*




*"Generalists did a good job getting the required information. Do I need to repeat questions again?"*

Agents become aware that "passing the audit" does not mean that they provided a pleasant E2E customer journey

Agents can shift mindsets to think about customer pain points, instead of existing operational silos and limitations

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# MO expedites change adoption by building a pool of change agents who can return to business with change mindset

- Change agents are:
  - Individuals at all levels of the organization who act as drivers of change
  - Early adopters of new values, actions, with skills required by the change initiative
  - Individuals with the ability to command credibility, respect, and influence from their colleagues
  - Potential future change champions

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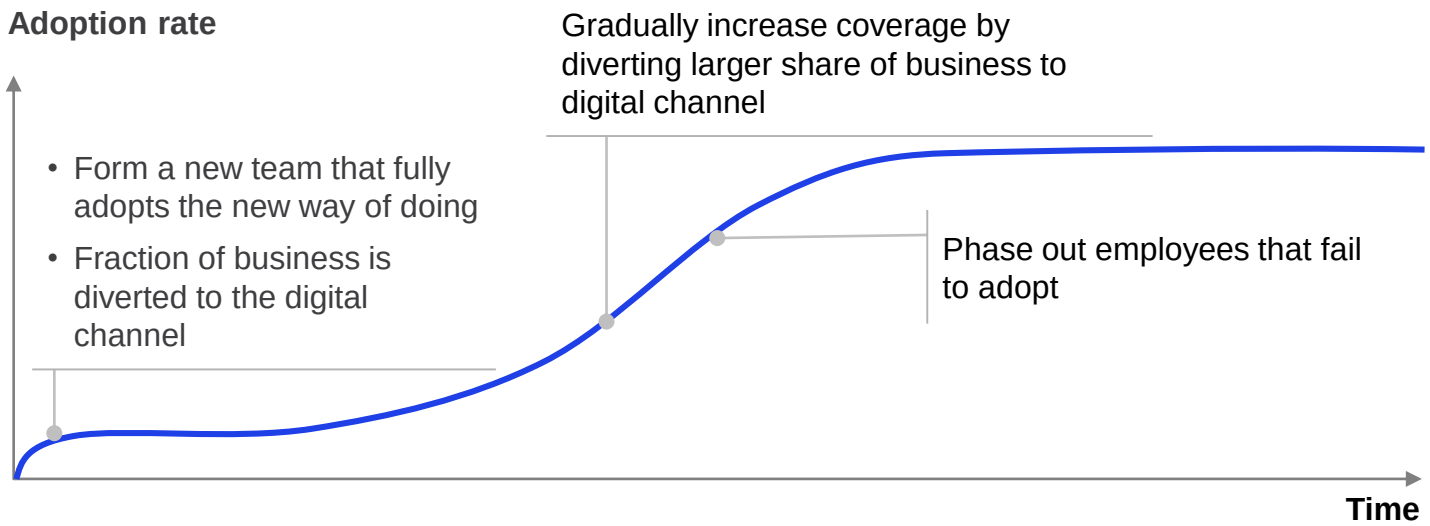
# MO “rolls in” employees and customer volumes, ensuring faster adoption and more sustainable transition into new journey

Methodology

Adoption rate for methodology

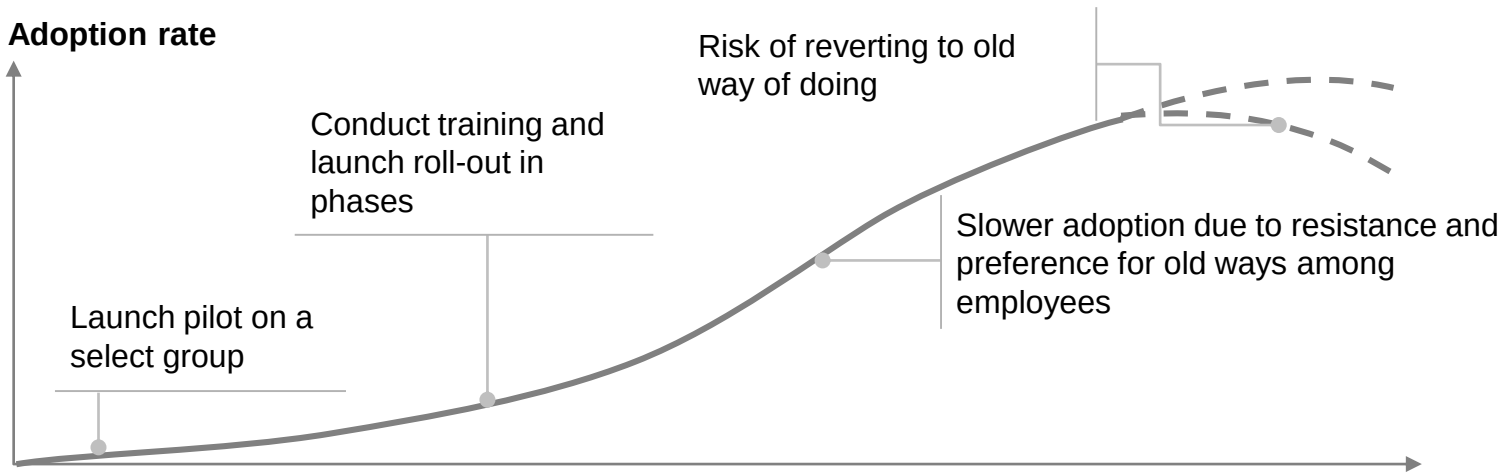
## Roll-in

**to TCJ Model Office**




## Roll-out

**to Bank BU**

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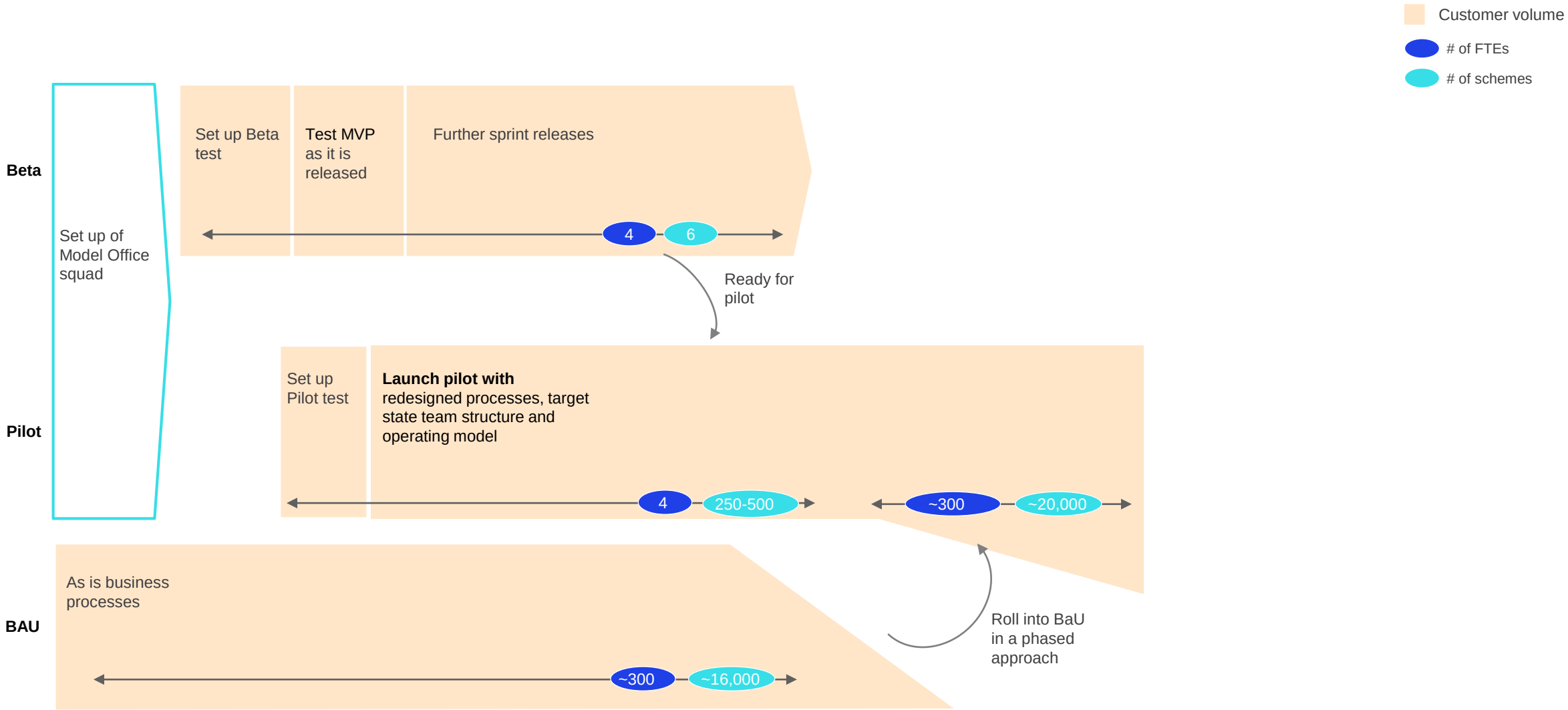
# MO diverts a fraction of customers onto new journey as soon as possible, hence benefits are realized on an on-going basis

ILLUSTRATIVE

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# Model Office squad will work towards these four outputs

## 1 New Policy & Process changes

Recommend changes to policy & processes

Assist with legal, compliance, risk, and other change management approvals

Conduct limited live tests to demonstrate proof of concept for change management approvals

Empower agents to adopt and cascade process, develop support materials

## 2 New KPIs and Incentives

Identify existing KPIs that are misaligned with desired future state

Propose new incentive/ penalty scheme to Business Unit

## 3 Proof of Concept

Conduct proof of concept tests that simulate bots

(e.g. assist feature team with standardization and data cleansing that can later be automated by bots)

## 4 New Digital product features

Test new features as they are developed and provide user feedback

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# The Model Office squad is responsible for testing and industrializing operating processes during Waves

Input from Incubate phase:

Target processes and Operating Model

Prototype of new digital solution to support

## A Test-and-learn
Validate benefits in real-life environment

- MO Lead to create test plan
  - Collate hypotheses to be tested
  - Define metrics to measure improvement against baseline
- Test new features alongside Feature Team (i.e. UAT test)
- Test new process in mock simulations and with customers
- Gather test data on any inefficiencies, how well it resolves pain points
- Update and review test results with relevant stakeholders (e.g. compliance, change management, risk, etc.)
- Conduct daily review sessions to refine process based on results and feedback
- Make recommendations to process (e.g., modified call script, new roles, etc.)

## B Scale
Increase reach of solution to capture benefit

- MO Lead to create roll-in plan
  - Define processes that are deployed in phases vs. “big bang”
  - Define metrics and targets to define deployment points
- Design change management enablers (e.g., knowledge, support materials, incentives) to support new process
- Shift all customer volumes into new journey

## C Design enablers to support new process

- Recommend changes to KPIs/incentives to enable future state process

## D Share customer feedback

- Share customer feedback with Product Owner(s) to refine solution being developed

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# A B Each Model Office will conduct three test phases and scale

| | | UAT test | Beta test | Pilot test | Scale |
|---|---|---|---|---|---|
| What is the objective? | | ▪ **Test features and processes in simulated environment** (no customer interaction)<br>▪ Provide feedback to technology team based on customer usage, demand pattern | ▪ **Test and validate** integrated customer journey (digital solution and process) **in real life environment**<br>▪ Inspect and adapt to make any changes required to scale | ▪ **Validate benefits at small scale** and in more **challenging environments**<br>▪ Add volume to solution and accelerate benefits | ▪ **Increase reach of solution** across full population and capture full benefit<br>▪ **Integrate implementation and support fully with BAU** |
| What is in scope? | Digital solution | As features are developed; after completion of technical tests | As features are released (e.g., MVP with no token password feature) | As features are released (e.g. MVP with all high-priority features) | Digital solution that is deployed (e.g. MVP with all priority features) |
| | Process | Processes that support each feature | A defined volume of customers, location, space, customer segment (e.g., 2 branches) | Minimum size of environment to prove scale; selected based on level of difficulty to implement, volume of customers) (e.g., 10 branches) | Full live environment in stages |
| Who is involved? | | TCJ Model Office squad (first set of members, Minimum # of representatives from all functions to replicate mini ecosystem of journey) | | | TCJ Model Office Squad (ramped up set of members) + BAU teams (detailed in next slide) |
| Exit criteria | | ▪ Sample metrics:<br>– Usability of new digital solution and process<br>▪ Target based on Journey Team OKR and expected business case | ▪ Sample metrics:<br>– Migration rate to new journey (e.g., 35% of total volume through new solution)<br>– Usability of new digital solution and process (e.g., 40% accounts opened independently)<br>– Benefits as defined in Journey OKR (e.g., <10min to open account, 70% satisfaction) | ▪ Similar metrics as Beta test, target refined with Beta test results | ▪ End-state target based on Journey Team OKR and expected business case; refined with Pilot test results |

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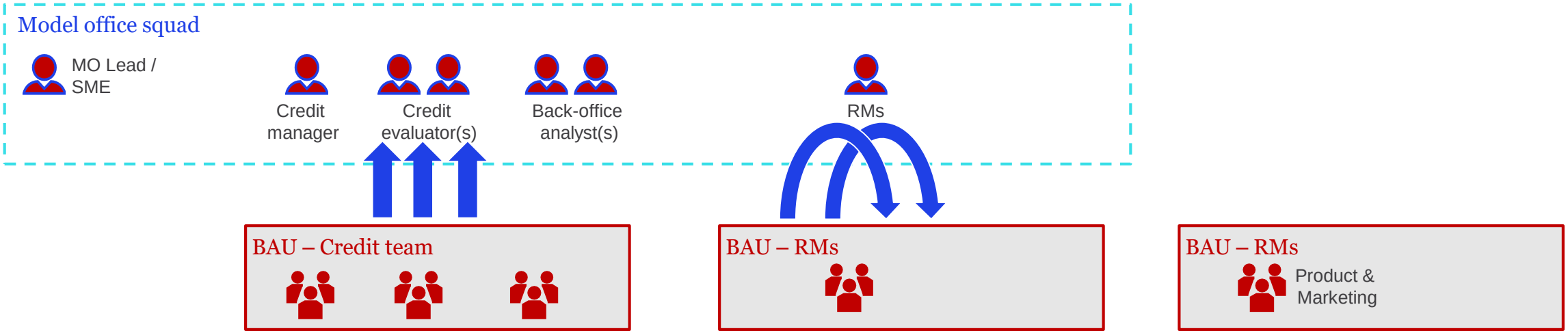
# B MO will use two models to Scale new journey to BAU




| | BAU – Credit team | BAU – RMs | BAU – RMs |
|---|---|---|---|
| **Staffing model** | ▪ **Roll in volumes** into Model Office<br>▪ Gradually increase share of business to new journey | ▪ **Roll-out** changes to BAU in phases | ▪ Rolled |
| **Activities during Scale** | ▪ Gradually increase number of team members under MO, following defined set of metrics<br>▪ As each member is rolled into MO, his/her workload is also 100% shifted to journey | ▪ Core team develops 'train the trainer' program to cascade change to whole team<br>▪ Rest of team spends defined period of time with MO to use new solution and process | ▪ N/A |
| **When does this model apply?** | ▪ New journey causes significant change to a **majority** of job<br>▪ All activities can be centralized in a single location during duration of MO test | ▪ New journey causes significant change to a **portion** of job<br>▪ Activities are conducted from separate locations and cannot be co-located in single location | ▪ New journey **does not affect** day-to-day activities of FTE significantly |

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# C Once proof of concept is established, MO team develops detailed change management requirements for next step handoff

## Change management requirements

### Policy & Process

Review and optimize existing Policy & Process

### Knowledge

Train users to use future state solution and process

### Support Materials

Develop support materials to enable specialists to execute on future state improvements (e.g., Standard Operating Procedure, new scripts, list of transaction identifiers, and other assets are shared)

### Incentives

Develop and align incentives (both rewards and penalties) for to enable future state improvement objectives

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# Daily activities of the Model Office is focused on testing and iterative redesign of process based on customer feedback

1 Weekly planning: set priorities for the week, discuss weekly workplan
3 Channel findings into the Shaping team backlog, escalate blockers/risks
5 Provide feedback to delivery team and plan for future sprints
SOURCE: Case example

2 Discuss feedback from customers with Feature team/ On demand meetings
4 Check-on progress and KPIs, discuss key findings, address blockers/risks, decide to escalate if necessary
6 Testing of non-deferrable demand: TBDam-TBDpm



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# Factors to be considered in the design of Model Office squad

| | Points of consideration | Description | Solution/hypothesis | Status |
|---|---|---|---|---|
| MO set up | 1 Members in Mobile Office - number and skills | What is the **exact composition** of the MO squad? Who are the actors in the journey? | | |
| | 2 Level of dedicated resources | Are there **fully dedicated resources** for each Journey Team or can some resources be shared between Journey Teams? | | |
| | 3 Profiles of MO members | What **skills, competency levels and mindsets** are required in MO squad? How does this differ at each stage of testing? | | |
| | 4 KPIs | How do we get MO team members **aligned to the same objectives**? | | |
| | 5 Location | Where are these teams located? Where will MO co-locate and what is the **level of co-location needed** to make this work? | | |
| | 6 Number of Model Office squads | Is there a **one-model-fits-all** or a differentiated model by case complexity/customer segment? | | |
| Roadmap | 7 Timing of tests and scale-up | When does each test run? | | |
| | 8 How does MO test roadmap align with technology release plan? | What features will be ready for each test in MO? How do we continuously integrate new features as they are developed? | | |
| Test plan | 9 Size of tests | What is required to provide burden of proof and validate new efficiency levels? | | |
| | 10 Customer selection criteria | How many customers will we test with during each phase? Which segments? | | |
| | 11 Staffing plan | When do we roll-in additional Model Office members? | | |
| | 12 Measurement tools and dashboards | What methods for observation and obtaining feedback? How to measure and track results? | | |
| Scale | 13 How and when to roll out the ops changes and digital changes to BAU | What is the timeline for rolling in additional volume & rolling-out change? | | |

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# 3 Attributes of Model Office Lead

## Purpose

- Has enough **seniority** to be the **main link** between the **MO** squad and the **Ops department**
- Can **anchor** the **MO needs** in the agenda of **Ops colleagues** and **ensure smooth interactions**
- Has **enough experience** to be **responsible** for the **motivation** and **quality of delivery** of the pilot team
- **Eager** to **improve and build** the future Ops teams

## People

- Can **support recruitment** and **training** of Ops resources for the MO
- **Coaches team leader** and ops colleagues to **drive improvement in KPIs** and **performance** of the team
- **Links in** with **feature** and **shaping team** to **shape the solution**
- Can **inject passion, conviction** and sense of purpose in the pilot team
- Has the ability to **develop talent**, **manage the pilot team** day-to-day and **drives improvement in KPIs**

## Content

- Has **extensive Ops knowledge** and can play the role of trusted advisor to the MO team
- Can build on cross functional Ops knowledge to train and guide pilot team

## Process

- Can build on experience to **anticipate issues, required escalations** and **implementation constraints**
- **Understands** the **time constraints** of the transformation and can work in accordance to **deliver end products**
- Prioritises and fulfils MO requirements, and delegates where appropriate
- Runs MO daily scrums, sprint planning session and hosts gallery walks
- Can ensure good **prioritization** and **delivery**
- Executes properly to the agreed upon methodology
- Capacity to be a full-time member of the pilot team

## Mindset

- Finds solutions rather than only point at issues
- Can do, proactive attitude
- Proactively thinking about building ‘best in class MO’
- Leads team with a ‘we can do it’ attitude

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# 3 Attributes of front-line members/analysts seconded to TCJ Model Office squad

## Quantity

- Operating team that represents demand pattern that can be replicated in BAU
  - Peaks and troughs of demand
  - Necessary services levels to be maintained
  - Sickness/holidays cover
  - Allows workload allocation and balancing
  - Level of non-deferrable demand
- Operating team that is responsible for and can bring over customer cases by new customer journey
  - Targeted customer segment
  - Representative of different case types (e.g., self-service vs. dedicated RM)

## Skill level

- Initial: Above average Ops colleagues, able to transition well to E2E model (experienced), with ability to adapt and learn quickly; required to support rapid re-design of E2E Ops
- Scale-up: Representative sample of skills within target (remaining) ops team

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# 9 MO will design the size of pilot such that it provides sufficient burden of proof to BAU

EXAMPLE; NOT COMPREHENSIVE

| Example burden of proof that MO should provide to BAU | Implications on size of tests (Example) |
|---|---|
| New process can **deliver efficiency improvement** as expected | ▪ *The test steadily increases amount and type of demand handled by each colleague* |
| New process and operating model **works at scale** | ▪ *Number of customers included in pilot test is the minimum viable size to demonstrate scale* |
| New process **must be differentiated by demand** (e.g., type and customer) as this drives work content | ▪ *Certain types of demand/ customers drive work content disproportionally* |
| New operating model **involves cross-skilling** employees in X and Y. | ▪ *The test demonstrates amount of cross-functional tasks that can be handled by the employees; and where cross-skilling is limited* |
| New process **requires minimum demand** of X to improve productivity | ▪ … |
| New process implies X **changes in organizational structure**, due to new segmentation of demand | ▪ *Teams organized by optimal spans of control* |

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# 10 Selection criteria for customers during Beta and Pilot test phases

XX Number of customers

## Beta

**Objective:**
- To test integrated customer journey (digital solution and process) in real life environment

**Criteria for selection:**
- Customer is willing to participate
- Representative subset of current client profile
  - Mix of sizes
  - Mix of channels
- Readiness/Cleanliness of back-end data
- Any other factors that affect acceptance of new customer journey

**Example selection:**

4 **Test customers:**

**SME A**
- Loan size below <RM Xmn
- Serviced by RM

**SME B**
- Loan size below <RM Xmn
- Serviced by MSF

**Commercial A**
- Loan size above <RM Xmn
- Serviced by RM

**Commercial B**
- Loan size above <RM Xmn
- Serviced by MSF
- Based outside KL

## Pilot

**Objective:**
- To validate benefits at small scale
- To accelerate efficiency benefits

**Criteria for selection:**

1. Representative workload (demand level and type)
   - Extent of self-service
   - Number of arrangements (sub-scheme for units of customers)
   - Number of members
   - Preferred channel
2. Product

**Example selection:**

250
- 92 – SME, serviced by RM
- 17 – SME, serviced by MSF
- 4 – Commercial, serviced by RM
- 4 – Commercial, serviced by MSF

Start
250 loans

Ramp up
350 loans

WK X

WK Y

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# 11 MO will define staffing levels

| | Beta | Pilot | Pilot |
|---|---|---|---|
| **Customer** | Minimum number of customers | Ramped-up number of customers that to prove scalability of solution/process | Ramped-up number of customers that to increase scale |
| **Productivity rate** | Current average FTE productivity ratio | New FTE productivity ratio | Validated new FTE productivity ratio |
| **Employee** | Minimum viable size, with representatives from all affected department/functions | Same Ops team with improved productivity (example - by 20% from current) while ensuring:<br>▪ Above minimum viable size for workload balancing<br>▪ Desired service level | Scaled in the same order as number of customers |

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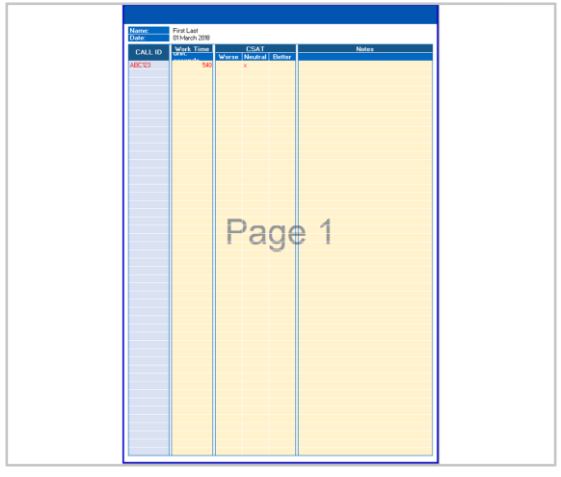
# 12 MO will track progress and impact of each test

## Track interactions

- Agents record individual performance for each call & claim handled
- Use spreadsheet template for easy data population

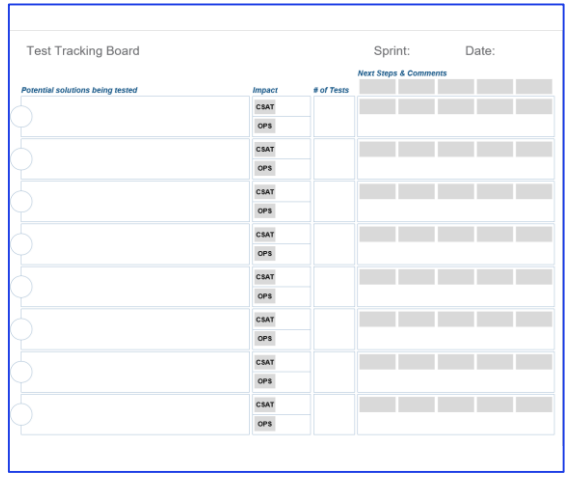



## Track individual FTE performance

- MO team huddles daily to record individual performance and discuss continuous improvement ideas
- Team huddle board is used to facilitate team discussion

## Track Tests & Solutions

- Team leads update and refine the test solutions after daily team huddles
- Test Tracking Board is used to visually manage and align all team members on overall test progress




MO Squad will create and fill out standardized tracking sheets to provide data on the new process and can help the team compare results over time

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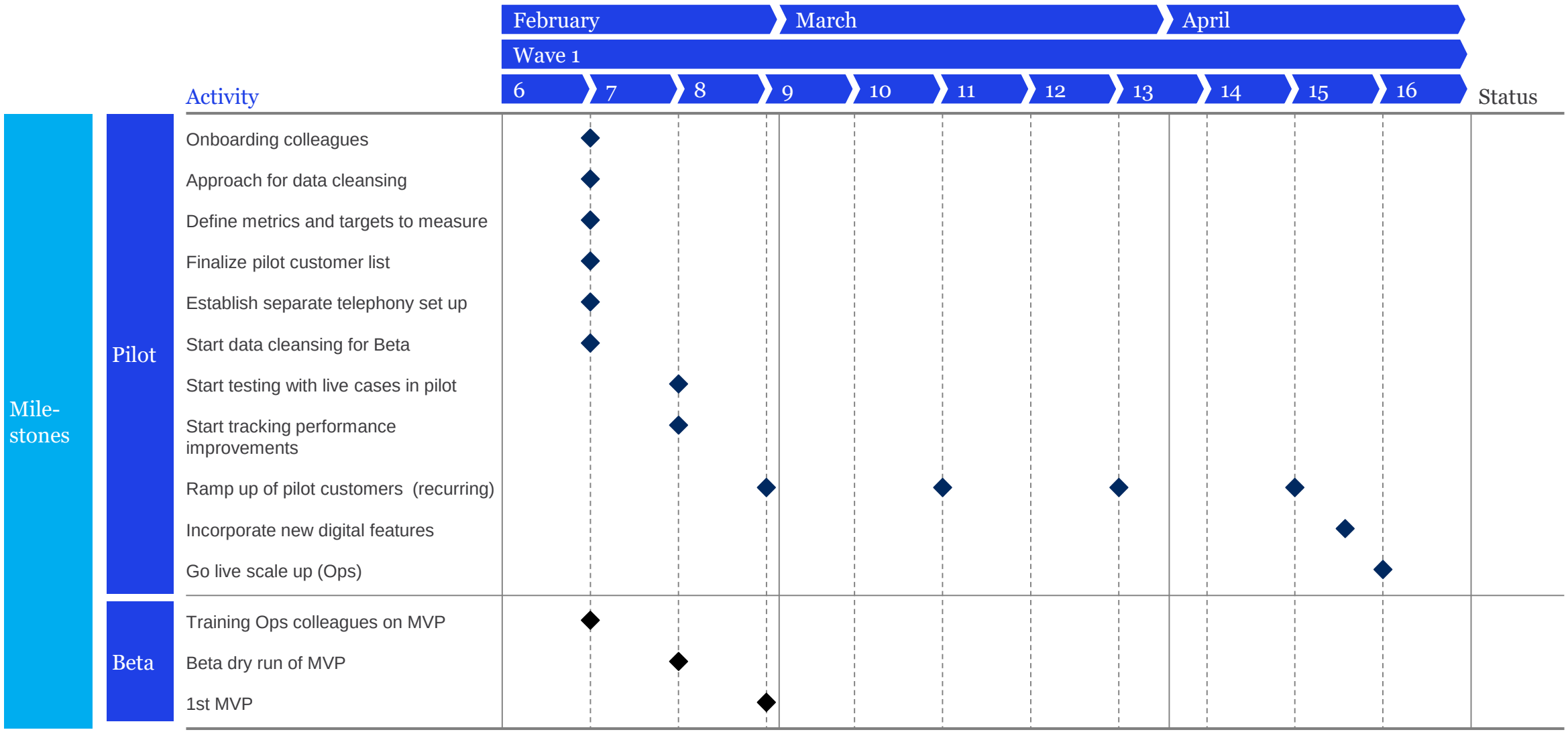
# Sample roadmap and milestones for MO in one Wave

EXAMPLE

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